Section No:

ID: _____

Name: _____

AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies
ECO101
Principles of Microeconomics

Mid-Term Assessment (MTA) – Form C

Spring 2025
7-April-2025

Number of Exam Pages: 4 (including this cover sheet)	**Time Allowed: 1.5 hours**

PLEASE READ THE FOLLOWING INSTRUCTIONS

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- **YOU HAVE TO ANSWER ALL THE QUESTIONS.**
5- Do **NOT** write your answers in pencil except graphs/sketches.
6- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination.
7- Simple calculators are allowed (if needed).
8- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

Question No.	Mark	Marker's Signature
Q1		
Q2		
Q3		

Final Mark: ____ / 30	Signature for Total Mark:

AOU Student

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Question One (9 points)

Select the correct answer and **write** it in the space provided. (1.5 points for each question).

Q1:
1.
2.
3.
4.
5.
6.

1. When supply increases while demand remains constant, what happens to the equilibrium price?
A) It increases.
B) It remains the same
C) It decreases.
D) It becomes unpredictable.

2. Opportunity cost means the
A) accounting cost minus the marginal cost.
B) highest-valued alternative forgone.
C) accounting cost minus the marginal benefit.
D) monetary costs of an activity.

3. Normative statements are statements about
A) prices.
B) quantities.
C) what is.
D) what ought to be.

4. Cupcakes and doughnuts are substitutes in consumption. The price of a doughnuts increases so the demand for
A) doughnuts will increase, that is, the demand curve will shift rightward.
B) cupcakes will increase, that is, the demand curve will shift rightward.
C) doughnuts will decrease, that is, the demand curve will shift leftward.
D) cupcakes will decrease, that is, the demand curve will shift leftward.

5. Over the past decade technological improvements that have lowered the cost of producing an automobile have increased
A) both the supply and the demand for automobiles.
B) the supply but not the demand for automobiles.
C) the demand but not the supply of automobiles.
D) neither the supply nor the demand for automobiles.

6. When the price of a good is
A) below the equilibrium price, quantity supplied exceeds quantity demanded and price rises.
B) below the equilibrium price, quantity demanded exceeds quantity supplied and price falls.
C) above the equilibrium price, quantity supplied exceeds quantity demanded and price falls.
D) above the equilibrium price, quantity demanded exceeds quantity supplied and price rises.

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QUESTION 2: (9 MARKS)

3A. Explain what is Market Equilibrium. Illustrates Market Equilibrium by drawing a graph. [4 points]

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2B. Define the concept of a rational Choice. And explain how individuals make rational choices? [5 points]

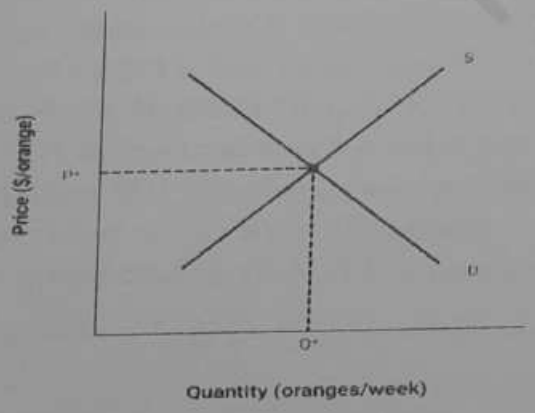
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QUESTION 3: (12 MARKS)

3A. Define the concept of law of demand and law of supply. [4 points]

3B. Explain how prices of related goods can change the supply of a good? [4 points]

3C. Studies have shown that drinking a glass of orange juice every day reduces the risk of heart disease. Draw the relevant curve on the graph to illustrate how this incident will impact the orange market. [2 points]



Explain which curve will shift and how it will impact the price and quantity? [2 points]

END OF THE EXAM

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